

Shyam Ferrous Ltd. Gopal Nagar v. State of U.P. & 6 Others

Allahabad High Court · Division Bench · 23 December 2015 · WRIT - C No. 61204 of 2015 · **Writ petition dismissed; recovery upheld, six months' time granted for deposit with recovery held in abeyance meanwhile**

HEADNOTE

Section 56(2) of the Electricity Act, 2003 (and the corresponding Clause 6.15/Clause 6.31.2 two-year recovery bar under the Supply Codes of 2005/2002) applies only to liabilities incurred after the Electricity Act, 2003 came into force (10 June 2003); for liabilities incurred under the earlier regime (Indian Electricity Act, 1910, s.24; Electricity Supply Act, 1948; Electricity Supply Code, 2002), no such two-year limitation bar exists on the licensee's power to demand and recover charges via supplementary bill or as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 — following the Supreme Court in *Kusumam Hotels v. Kerala SEB*, s.6 of the General Clauses Act, 1897 preserves such pre-2003-Act liabilities notwithstanding the repeal, and s.24 of the 1910 Act (as construed in *Isha Marbles and Swastic Industries*) confers an unlimited-in-time power to demand/recover (subject only to the separate limitation period for filing a civil suit, which is not the exclusive recovery route). Electricity charges/penalties 'first become due' — for limitation purposes — only when a bill/demand is actually raised and remains unpaid, not from the date of the underlying default/violation itself; a licensee's delay of years in raising a bill (here, due to an erroneous, later-corrected waiver by an unauthorised officer) does not extinguish its right to recover once the bill is properly raised. Service of a demand notice by registered post to the address on the licensee's records is deemed sufficient service under Explanation 1 to Section 3 of the 1958 Dues Recovery Act, regardless of the consumer's claim of non-receipt, particularly where the consumer's own conduct (e.g., seeking temporary reconnection, prior partial payment under protest) shows awareness of the liability.

HOLDING-UNITS

HOLDING-UNIT · EA2003::56

The s.56(2)/Clause 6.15 two-year recovery bar applies only prospectively, to liabilities arising after the Electricity Act, 2003 came into force; liabilities from the pre-2003 regime (here, 2002 peak-hour-restriction violations) are governed by the earlier law (s.24, 1910 Act) which imposes no such limitation on the power to demand/recover, per s.6 of the General Clauses Act preserving accrued liabilities on repeal

QUESTION

Does the s.56(2)/Clause 6.15 two-year recovery bar apply to bar recovery, in 2015, of peak-hour-restriction violation penalties for consumption periods in 2002 (predating the Electricity Act, 2003's 2003 commencement), where the amount was first properly billed only in 2009 (after a Supreme Court ruling settled the correct penalty-computation formula in 2006)?

HOLDING

No. Section 56(2) applies only after the Electricity Act, 2003 came into force; liabilities incurred under the pre-2003 regime continue to be governed by s.24 of the Indian Electricity Act, 1910 (which imposes no limitation on the licensee's power to demand/recover, only providing a separate, non-exclusive suit remedy) by virtue of s.6 of the General Clauses Act, 1897, which preserves rights/liabilities accrued under a repealed enactment — following *Kusumam Hotels (P) Ltd. v. Kerala SEB*. Electricity Supply Code 2002's Clause 6.31.2 (an analogue to Clause 6.15) similarly bars only recovery via the 1958 Dues Recovery Act route after two years from when a sum 'first became due' — and a sum 'first becomes due,' for this purpose, only when a proper bill is raised and remains unpaid, not from the date of the underlying default (following *MCD v. H.D. Shourie* and *NDMC v. Karam Chandra Thapar*). Here, the correct penalty (per the Supreme Court's 25.7.2006 formula in *U.P. Power Corp. v. Lohia Brass*) was billed for the first time on 4.2.2009, with follow-up notices in 2009, and recovery proceedings under the 1958 Act commenced well within any two-year window measured from that billing — the intervening 13 years since the 2002 violations reflects an earlier (unauthorised, later-corrected) waiver by a Deputy General Manager lacking power to grant it, not licensee inaction after proper billing. Service of the demand notices by registered post to the recorded address was deemed sufficient under Explanation 1 to s.3 of the 1958 Act, notwithstanding the petitioner's claimed non-receipt (particularly given the petitioner's own subsequent conduct — seeking temporary reconnection, earlier partial payment under protest — evidencing awareness of the liability). Writ petition dismissed, with six months allowed for deposit and recovery held in abeyance meanwhile. ¶ [unnumbered order \(full text\)](#)

LIMITING FACTS

The petitioner-company violated peak-hour electricity-use restrictions in 2002 (along with six other UPSIDC-area units); a Deputy General Manager (lacking authority to do so) waived the resulting penalties (~Rs. 8.25 crore collectively) in late 2002, later found improper on audit; the Supreme Court settled the correct once-per-inspection-report penalty computation on 25.7.2006 (U.P. Power Corp. v. Lohia Brass); the petitioner had already sought permanent disconnection just before that ruling (13.7.2006, effected 3.8.2006); a corrected bill was raised only in 2009, followed by 1958 Act demand notices and, ultimately, a 2015 recovery citation, which the petitioner challenged as time-barred.

PRINCIPLE TAGS

s56-2-two-year-bar-not-retrospective-to-pre-2003-act-liabilities

The s.56(2)/Clause 6.15 two-year recovery-limitation bar applies only prospectively to post-2003-Act liabilities; pre-2003-Act liabilities remain governed by s.24 of the 1910 Act (no limitation on demand/recovery power) via s.6 of the General Clauses Act — an important temporal-scope qualification on the recovery-limitation doctrine tracked elsewhere in this corpus (SCJ-111, SCJ-113, SCJ-119), distinguishing and narrowing the Paliwal Alloys/Satya Narain line where the underlying liability predates the 2003 Act. Lead authorities: *Kusumam Hotels (P) Ltd. v. Kerala State Electricity Board* [1873931], *M/s Isha Marbles v. Bihar State Electricity Board* [1082759]. ¶ [unnumbered order](#)

sum-first-due-means-when-bill-actually-raised

For limitation purposes, an electricity charge/penalty 'first becomes due' only when a bill/demand is actually raised (and unpaid), not from the date of the underlying default/violation — a licensee's delayed billing (for legitimate reasons, e.g. awaiting correction of an earlier erroneous waiver) does not by itself extinguish recovery rights. Lead authorities: *MCD v. H.D. Shourie* [779489], *NDMC v. Karam Chandra Thapar & Brothers Pvt. Ltd.* [1713428].

¶ [unnumbered order](#)

registered-post-to-recorded-address-deemed-sufficient-service

Service of a demand notice by registered post to the address on the licensee's records is deemed sufficient under Explanation 1 to s.3 of the 1958 Dues Recovery Act, regardless of a bare denial of receipt. Lead authorities: *Vishanji Tokarsi v. Collector, Kanpur Nagar*. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 6.15'S TWO-YEAR BAR (SECTION 56(2)-ANALOGUE) WOULD APPLY DIFFERENTLY TO PURELY POST-2003-ACT PEAK-HOUR OR OTHER PENALTY LIABILITIES

Left open — the Court expressly declined to finally resolve the broader scope-of-Section-56(2) question raised regarding Paliwal Alloys, treating it as academic on the facts of this case (a pre-2003-Act liability). ¶ [unnumbered order](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Kusumam Hotels (P) Ltd. v. Kerala State Electricity Board & Others</i> Civil Appeal No. 101 of 2007, decided 16.5.2008 [1873931] Supreme Court	Section 56(2) of the Electricity Act, 2003 applies only after the Act came into force; the bar of limitation does not apply to liabilities of a consumer incurred prior to the Act's commencement, given s.6 of the General Clauses Act preserving accrued liabilities on repeal.	Applied as the controlling authority to hold s.56(2) inapplicable to the pre-2003-Act peak-hour penalty liability.	Court	Followed
<i>U.P. Power Corporation Ltd. v. M/s Lohia Brass Pvt. Ltd. & Others</i> Decided 25.7.2006 Supreme Court	Peak-hour-restriction violation penalty is to be imposed per inspection report (first violation and subsequently for every violation), settling the correct computation formula.	Applied as establishing the formula on which the corrected 2009 bill was based.	Court	Followed
<i>M/s Isha Marbles v. Bihar State Electricity Board</i> 1995 SCC (2) 648 [1082759] Supreme Court	Section 24 of the Indian Electricity Act, 1910 confers a statutory right on the Board to cut off supply for non-payment, without prejudice to (and not limited by) its separate right to sue.	Applied to hold s.24's demand/recovery power is not time-barred merely because a suit-based recovery might be subject to civil limitation.	Court	Followed
<i>M/s Swastic Industries v. Maharashtra State Electricity Board</i> 1997 (9) SCC 465	There is no limitation for making a demand by way of supplementary bill under s.24 of the 1910 Act; the right to file suit is a separate option,	Followed as directly on point for the 'no limitation on demand' proposition and the interpretation of 'due'.	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
[764540] Supreme Court	not a precondition; the word 'due' should be given a wide, commercially-honest meaning.			
<i>MCD v. H.D. Shourie</i> 53 (1994) DLT 1 [779489] Delhi High Court	Electricity charges become due, and limitation for their recovery commences, only when the bill is raised — not from the date of underlying consumption/default.	Followed to hold the 2002 violations only 'became due' upon the 2009 bill.	Court	Followed
<i>NDMC v. Karam Chandra Thapar & Brothers Pvt. Ltd.</i> 162 (2009) DLT (decided 16.7.2009) [1713428] Delhi High Court	Liability to pay electricity charges is a statutory liability preserved by s.6 of the General Clauses Act; a bill can be issued even years after consumption.	Followed for the statutory-liability-preservation principle.	Court	Followed
<i>Bharat Barrel & Drum Manufacturing Co. Pvt. Ltd. v. Municipal Corporation of Greater Bombay</i> AIR 1978 Bom 369 [1022604] Bombay High Court	There is no limitation for making a demand by way of supplementary bill; constructive res judicata does not apply to bar a supplementary demand for previously unclaimed misuse charges.	Approved and applied (as endorsed by Swastic Industries).	Court	Followed
<i>Awadesh S. Pandey v. Tata Power Corporation Ltd.</i> AIR 2007 Bom 52 Bombay High Court	Section 56(2)'s two-year bar limits only the special coercive remedy of disconnection under s.56(1); it does not extinguish the underlying debt or bar recovery of a sum falling within two years of the demand, and does not preclude independent recovery by suit.	Cited as persuasive authority on the limited scope of s.56(2), though the Court found the broader question of Paliwal Alloys' correctness academic on the facts and left it open.	Court	Followed
<i>Paliwal Alloys Pvt. Ltd. v. U.P. Power Corporation Ltd. & Others</i> 2009 (4) AWC 3746 [1777029] Allahabad High Court (DB)	Applied Clause 6.15/s.56(2)'s two-year limitation to bar recovery of a peak-hour penalty imposed in 2006 for a 2002-2003 violation period.	Distinguished as having been decided without the benefit of the later Kusumam Hotels ruling (16.5.2008), which was not brought to that Division Bench's attention; its correctness on the broader s.56(2) scope question left open for a future case.	Court	Distinguished
<i>Satya Narayan v. U.P. Power Corporation Ltd.</i> 2013 (5) ADJ 648 Allahabad High Court	Applied Clause 6.15's two-year bar to a stale (12-15 year) electricity-dues recovery.	Distinguished — that case (SCJ-113 in this corpus) did not involve a pre-2003-Act liability, so the Kusumam Hotels temporal-scope point was inapplicable there.	Court	Distinguished
<i>Vishanji Tokarsi v. Collector, Kanpur Nagar</i> 2001 (43) ALR 96 Allahabad High Court (DB)	Once a demand notice is sent by registered post under the 1958 Dues Recovery Act, a claim of non-service/non-receipt cannot be accepted; Explanation 1 to s.3 deems registered-post dispatch sufficient service.	Applied to reject the petitioner's non-receipt claim.	Court	Followed